

the ticket purchase itself for the first time—a majority did decide to pay. Kahneman and Tversky concluded that subjects tended to evaluate the loss of a ticket and the purchase price of a new ticket in the same mental account; losing a ticket and shelling out for a new one would represent two losses incurred successively, debited from the same cluster of assets. The loss of actual cash, however, and the purchase of a ticket were debits evaluated separately. Therefore, the same aggregate loss felt less drastic when disbursed over two different accounts.

PRACTICAL APPLICATION

Marketing professors Drazen Prelec and Duncan Simester of Massachusetts Institute of Technology (MIT) brought mental accounting to life through an ingenious experiment.⁴ Prelec and Simester organized a sealed-bid auction for tickets to a Boston Celtics game during the team's victorious Larry Bird era in the 1980s. Half the participants in the auction were told that whoever won the bidding would need to pay for the tickets in cash within 24 hours. The other half was informed that the winning bidder would pay by credit card. Prelec and Simester then compared the average bids put forth within each group. As predicted, bidders who thought that they were relying on their credit cards wagered, on average, nearly twice the average cash bid.

This experiment illustrated that people put money in separate “accounts” when presented with a financial decision. In this case, the auction participants value cash more highly than credit card remittances, even though both forms of payment draw, ultimately, from the participant's own money. People may allocate money to a “cash” (expenditures only paid in cash) account, while simultaneously placing additional funds in a “credit card” (expenditures only paid by credit card) account. Viewed in light of the life-cycle theory mentioned in the previous section, the cash might be more likely to represent a “current asset,” and the credit card might represent “future income,” which are two separate accounts. It probably goes without saying that this behavior touches on another bias previously reviewed: self-control.

Implications for Investors

Mental accounting is a deep-seated bias with many manifestations, and it can cause a variety of problems for investors. The most basic of these problems is the placement of investment assets into discrete “buckets” according to asset type, without regard for potential correlations connecting investments across categories. Tversky and Kahneman⁵ contended that the